

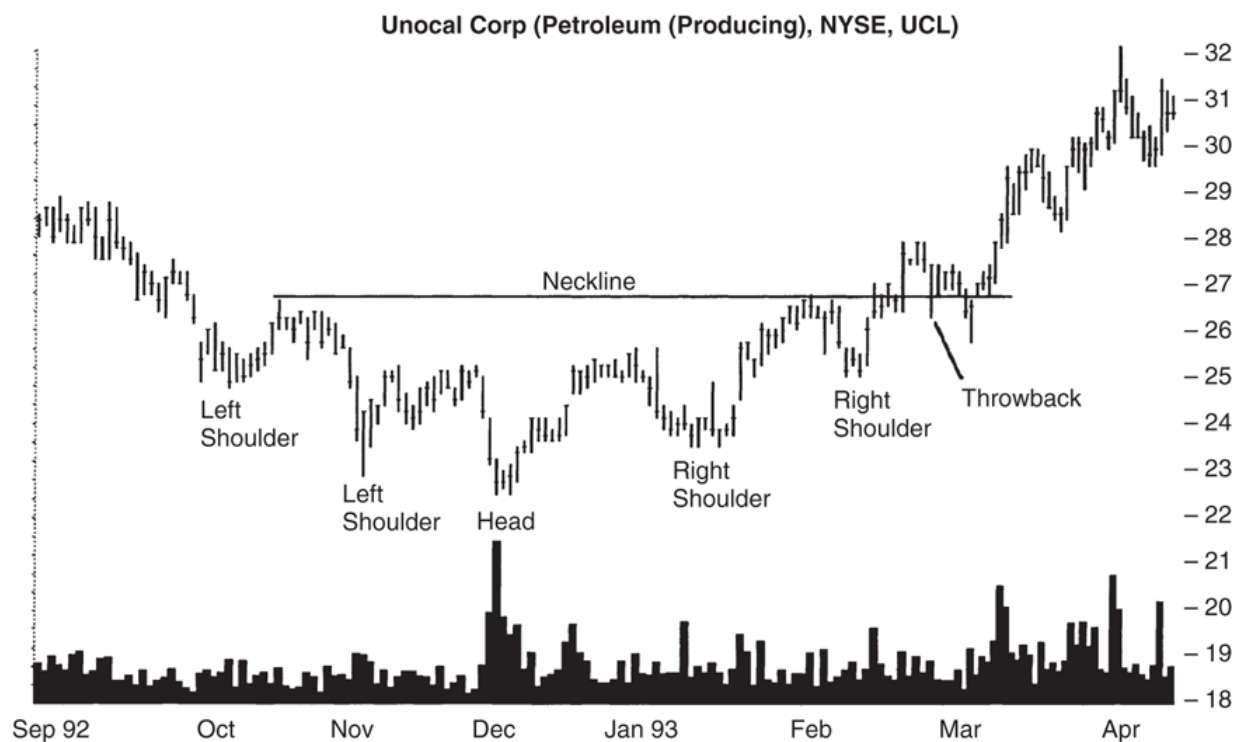


Figure 40.1 A dual-shoulder complex head-and-shoulders bottom. Notice the horizontal neckline and throwback to it. The formation is part of a rounding bottom chart pattern.

Looking at all the shoulders and the head together, the chart is a good example of a complex head-and-shoulders bottom. However, the volume pattern is unusual because it is heavier on the right than on the left. Most of the time, the left shoulders show higher volume than the right ones.

If you ignore the various labels, you can see a rounding bottom. The gentle turn of price (if you connect the minor lows) supports a bottom pattern. However you choose to classify this pattern, the bullish reversal is clear.

A throwback appears in March when the stock returns to the neckline. Although it takes a week or two before price really begins moving up, the stock climbs to a high of 32.63 before retracing its gains.

Compare [Figure 40.1](#) with [Figure 40.2](#), a complex bottom with two heads. Overall, the chart pattern is quite symmetrical. There are two shoulders and two heads. A neckline connects the highs in the pattern and projects forward in time until price closes above it. The penetration of the neckline is the breakout point. Notice how flat (almost horizontal) the neckline appears. A near-horizontal neckline is a feature you can look for when prospecting for